

Policy & Claims Copilot – Knowledge Base Document

1. Overview

The **Policy & Claims Copilot** is designed to assist customers, insurance agents, and claims teams by providing accurate, consistent, and real-time information about insurance policies and claims processes. This system leverages Large Language Models (LLMs) and Retrieval-Augmented Generation (RAG) to answer queries and perform preliminary claim validations.

2. Policy Coverage

2.1 What is Covered

Coverage varies by policy type but typically includes:

- Hospitalization expenses (room rent, ICU, nursing)
- Pre- and post-hospitalization costs (e.g., consultations, diagnostics)
- Daycare procedures not requiring 24-hour admission
- Emergency ambulance services
- Certain critical illnesses (as specified in policy documents)
- Maternity benefits (if included)

2.2 What is Not Covered

Common exclusions include:

- Pre-existing diseases (during waiting period)
 - Cosmetic or aesthetic treatments
 - Self-inflicted injuries or suicide attempts
 - Injuries due to intoxication or substance abuse
 - Experimental or unproven treatments
 - Non-prescribed treatments or therapies
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3. Limits and Sub-Limits

Policies may include financial caps such as:

- **Room Rent Limit:** e.g., 1% of sum insured per day
- **ICU Charges Limit:** e.g., 2% of sum insured per day
- **Specific Treatment Caps:** Fixed limits for procedures like cataract surgery

- **Maternity Limit:** Maximum payable amount for childbirth expenses
 - **Co-payment Clause:** Percentage of claim paid by policyholder (e.g., 10–20%)
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4. Waiting Periods

Waiting periods are durations during which certain claims are not admissible:

- **Initial Waiting Period:** Typically 30 days from policy start (except accidents)
 - **Pre-existing Disease Waiting Period:** Usually 2–4 years
 - **Specific Illness Waiting Period:** e.g., hernia, cataract (1–2 years)
 - **Maternity Waiting Period:** Typically 9 months to 2 years
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5. Claim Submission Process

5.1 Steps to File a Claim

1. Notify insurer or TPA (Third Party Administrator)
2. Submit claim form (online or offline)
3. Provide required documents
4. Undergo claim assessment
5. Receive approval/rejection decision

5.2 Types of Claims

- **Cashless Claims:** Direct settlement with network hospital
 - **Reimbursement Claims:** Policyholder pays upfront and claims later
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6. Claim Timelines

- Claim intimation: Within 24–48 hours of hospitalization
 - Document submission: Within 7–15 days after discharge
 - Claim processing: Typically 15–30 working days
 - Reimbursement settlement: Within 7–10 days after approval
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7. Required Documents

Typical documents include:

- Duly filled claim form
- Hospital bills and receipts
- Discharge summary

- Doctor's prescriptions
 - Diagnostic reports
 - ID proof and policy details
 - FIR (in case of accidents, if applicable)
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8. Claim Pre-Check Logic

The system performs a preliminary validation before claim submission:

8.1 Eligibility Check

- Is the policy active?
- Is the condition covered?
- Has the waiting period been completed?

8.2 Financial Check

- Does the claim exceed policy limits?
- Are sub-limits applicable?
- Is co-payment required?

8.3 Documentation Check

- Are all required documents available?
 - Are documents valid and complete?
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9. Example Claim Scenarios

Scenario 1: Covered Claim

- Condition: Appendicitis
- Policy active: Yes
- Waiting period: Completed
- Outcome: Likely approved

Scenario 2: Not Covered

- Condition: Cosmetic surgery
- Outcome: Rejected (excluded treatment)

Scenario 3: Partial Approval

- Condition: Cataract surgery
- Sub-limit applies
- Outcome: Approved with capped payout

10. Frequently Asked Questions (FAQs)

Q1: Can I claim immediately after buying a policy?

A: Only for accidents; other claims are subject to waiting periods.

Q2: What happens if documents are missing?

A: Claims may be delayed or rejected.

Q3: Can I use any hospital?

A: Yes, but cashless claims are only available at network hospitals.

Q4: How long does claim approval take?

A: Typically 15–30 working days.

11. System Usage Guidelines for RAG

- Store this document in vector database as chunks (200–500 tokens)
- Tag sections (coverage, exclusions, claims, documents, etc.)
- Use semantic search for retrieval
- Combine retrieved context with LLM for response generation
- Ensure responses cite relevant sections

12. Disclaimer

This document is for informational purposes only. Final claim decisions are subject to policy terms, insurer evaluation, and regulatory guidelines.

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